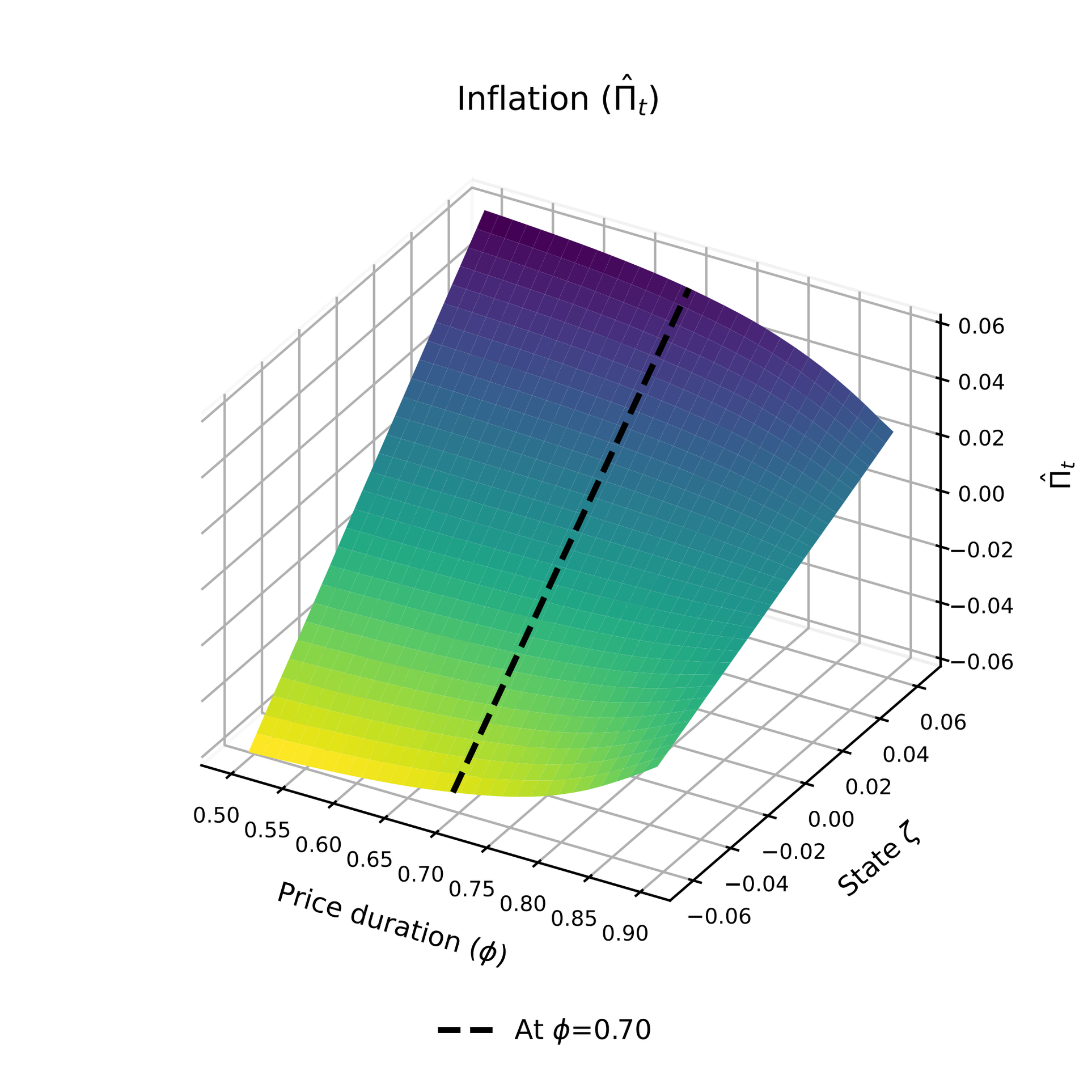
Inflation ($\hat{\Pi}_t$)
0.06
0.04
0.02
0.00
−0.02
−0.04
−0.06
$\hat{\Pi}_t$
0.50
0.55
0.60
0.65
0.70
0.75
0.80
0.85
0.90
Price duration (ϕ)
0.06
0.04
0.02
0.00
−0.02
−0.04
−0.06
State ζ
At ϕ=0.70